Submitted via the Commission's internet comment form at https://www.sec.gov/comments/s7-2026-30/transfer-agent-rules (File No. S7-2026-30)

Vanessa A. Countryman
Secretary
Attention: File No. S7-2026-30, Transfer Agent Rules
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

November 3, 2026

Re: File No. S7-2026-30, Transfer Agent Rules; Release No. 34-106246; RIN 3235-AL55 (91 Fed. Reg. 56946, September 4, 2026; comments due November 3, 2026)

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on the Commission's proposal to modernize the transfer agent rules. Tokenization Systems supports the proposal's direction. It makes the master securityholder file electronic and technology-neutral, ties turnaround to the settlement cycle, replaces certificate-era safeguarding with a risk management rule, and, for the first time, asks transfer agents to report how they use distributed ledgers and which tokenization models they service.

This comment addresses one question the proposal raises and leaves open: when a security's ownership is recorded on a crypto network, which record is the security, and who controls it. The proposal answers the first half in principle. "The master securityholder file is the authoritative record of who owns an issuer's securities" (91 Fed. Reg. at 56969), and the amended definition "would permit a transfer agent to utilize a blockchain or other distributed ledger technology as its master securityholder file, or a component thereof, but it would not mandate it" (91 Fed. Reg. at 56970). The rule text then requires that the transfer agent maintain "at all times exclusive control over the master securityholder file" (91 Fed. Reg. at 57056) and safeguards "to detect and prevent unauthorized alteration" of electronic records (91 Fed. Reg. at 57055). It does not say which record governs when a token and the off-chain file disagree, it does not require that the supply of a token on a crypto network be reconciled to the securities the file records, and it does not define "exclusive control" for a ledger the transfer agent shares with everyone else who uses the network. The release asks related questions (Questions 83 and 84) but proposes no answer.

The answers matter because the market is concentrated and moving on-chain at once. The release reports that, as of 2025, "the 10 largest transfer agents account for approximately 82% of individual security holder accounts" and "87% of securityholder accounts for which the transfer agent maintained master securityholder files," levels that "suggest limited competitive constraints on the largest transfer agents" (91 Fed. Reg. at 57006). It also describes firms "developing models for blockchain-based recordkeeping, tokenized fund

administration, and cross-chain interoperability" that would require transfer agents to "deploy and administer smart-contract-driven processes" (91 Fed. Reg. at 56947). Yet the rule text never names the powers those processes carry: to mint, burn, freeze, force a transfer of, pause, or upgrade a token.

Tokenization Systems' research on tokenized products has repeatedly found the gap this proposal can close. In its comment on the Commission's request for comment on tokenized NMS stock (File No. 4-927, posted as comment 4927-1100019-3872926), the program observed that a token can satisfy every right the Commission's order names while "the record that controls ownership sits off the ledger," and asked the Commission to state that the order's equivalence verification must address, among other things, "which record controls if the ledger and the off-chain record disagree, and how often the token supply is reconciled to the shares held for holders." In its comment on the Commission's draft strategic plan, it reported that across three documented tokenization strategies "a single transfer agent serves all three," a concentration that entity-by-entity review does not surface. And in its comment on proposed Regulation Crypto Assets (File No. S7-2026-27, posted as comment s7202627-1099939-3872688), it asked for an inventory of "the admin keys, upgrade authorities, mint and freeze functions, and equivalent privileged capabilities associated with the crypto asset."

When the Commission issued this proposal, then-Commissioner Peirce posed four questions for public feedback, and on October 29, 2026, the Director of the Division of Trading and Markets highlighted two of them: "We seek your best advice on both of these key questions." This comment answers all four. Will transfer agents "perform more tasks or fewer" as securities move on-chain? Fewer clerical tasks and more control tasks (Recommendations 2 and 3). Should digital identifiers replace names and physical addresses? They should be collected in addition, not instead (Recommendation 7). Are the amendments to rule 17ad-17 appropriate given state inactivity standards? Yes, with one clarification for tokenized positions: an unsolicited incoming transfer or automatic distribution should not by itself count as activity (Recommendation 7). Is disclosure of service providers on Form TA-2 appropriate? Yes, and for the infrastructure that carries the official record it should be public (Recommendation 6).

The seven recommendations below follow from the question of which record is the security and who controls it. They are summarized with the questions each answers and the action requested.

Recommendation	Questions answered	Requested final-rule action	Why it matters
1. State which record governs, reconcile on-chain supply to the master securityholder file every business day, and count excess supply in the overissuance test	45, 50, 83, 84, 105	Require the transfer agent to designate the governing record for each tokenized issue; add a record difference when on-chain supply and the file disagree; count excess on-chain supply in the overissuance test; do not exempt an immutable-ledger file from retention	Monitoring for overissuance is a statutory transfer agent function, and a token supply that drifts from the official record is the tokenized form of overissuance
2. Define exclusive control of a ledger component as sole authority to create, cancel, or freeze units or move them without the holder's authorization, held by the transfer agent or exercised only on its instruction, under joint authorization	82, 84, 99	Define exclusive control as that sole authority, held by the transfer agent or exercised only on its instruction and under joint authorization; do not treat the ability to view and copy a public ledger as independent access; treat a network where another person can freeze or move units without the transfer agent's instruction as outside exclusive control	Anyone can view and copy a public ledger; control is the power to change it

Recommendation	Questions answered	Requested final-rule action	Why it matters
3. Treat the privileged functions of a token as transfer agent functions	50, 84, 109, 140	Require that each privileged function of the token's own contract be held by the transfer agent or exercised only on its instruction (network-level powers are handled under Recommendation 2); require issuer authorization for every mint and burn, joint authorization and a transfer journal entry for every use of a privileged function, and disclosure of the functions to holders; treat code-enforced resale restrictions as restrictive legends; name the functions in guidance on material risk	The rule text records the results of these functions but never the functions themselves or who holds them
4. Hand over control with the records, and plan for a transfer agent's failure	101, 104, 110	Require the 15-day handover to include the privileged roles and keys of a tokenized issue; require business continuity planning for ledger events; keep one accountable recordkeeping transfer agent across networks	Records without the power to change the ledger strand a tokenized issue, and the release found that 56 of the 144 transfer agents that withdrew between 2016 and 2025 reported a successor for every issue
5. Keep payment stablecoins and tokenized deposits out of "funds" unless held under stated conditions	108, 113	If permitted, limit them to payment stablecoins of permitted issuers and tokenized deposits held at a bank or trust company in a for-the-benefit-of wallet, with per-client records and reconciliation; segregate tokens the transfer agent holds	A token held for securityholders carries key, issuer, and network risks that a for-the-benefit-of bank account does not

Recommendation	Questions answered	Requested final-rule action	Why it matters
6. Make tokenization visible on Form TA-2	16, 19, 21, 23	Split Question 4(e) by the role of the ledger; report, publicly and by issue, the network and contract address of each tokenized issue; define the tokenization models in the form instructions; make the names of distributed ledger platforms and tokenization agents public	The Commission would not see which network carries which issue's official record, and investors would see neither platform nor network
7. Make the wallet address part of position detail for tokenized positions, and address lost keys	37, 41, 116	Require the wallet address as position detail for tokenized positions in addition to, not instead of, the holder's name and mailing address; in rule 17ad-17, make clear that an unsolicited incoming transfer or automatic distribution is not by itself account activity, and define unresponsive payees for wallets	A payment to a wallet whose keys are lost is never returned, so the holder never becomes an unresponsive payee; and on many networks anyone can send a token to any address, so a receipt alone shows nothing about the holder

I. Recommendations

Recommendation 1 (Questions 45, 50, 83, 84, 105): State which record governs, reconcile on-chain supply to the master securityholder file every business day, and count excess supply in the overissuance test.

Monitoring for overissuance is one of a transfer agent's statutory functions (91 Fed. Reg. at 56947). The proposal keeps the test anchored to the control book: an overissuance is "an out-of-balance condition wherein the securities issued and outstanding exceed the securities authorized and outstanding, as reflected in the transfer agent's control book" (91 Fed. Reg. at 57056-57057), and a record difference arises when the master securityholder file does not equal the control book or is inconsistent with the transfer journal (91 Fed. Reg. at 57056). Where a ledger is the file or a component of it, those tests reach the token. Neither test reaches a token that only mirrors the file: tokens minted beyond the file (by an exploit, a bridge to another network, or an error) are then neither a record difference nor an overissuance as defined. The exposure is documented. A 2026 whitepaper by Google Quantum AI with the Ethereum Foundation, UC Berkeley, and Stanford observes that for fiat-backed stablecoins and tokenized treasuries "a compromise of issuer keys would allow arbitrary minting, effectively depegging the distributed asset and destabilizing the broader DeFi economy, even though the offchain represented reserves remain untouched." In that event the file would balance and the overissuance test, as drafted, would show nothing. Nor does tokenization itself change the substance of a security: the President's Working Group

on Digital Asset Markets stated in 2025 that "Tokenization does not affect the substance of the securities issued, nor does the use of a blockchain by an issuer or its agent give rise to a new or different type of asset." Units on a network in excess of the file purport to be the issuer's securities, which is what the overissuance test exists to catch. And the buy-in duty reaches only "any actual overissuance that such transfer agent caused and of which it has knowledge" (91 Fed. Reg. at 57056).

Question 83 asks whether the rules facilitate systems "so that the transfer of a tokenized security on a blockchain results in a corresponding transfer of the security on the master securityholder file" (91 Fed. Reg. at 56984), and Question 84 asks how to address "situations where records exist solely on a blockchain or distributed ledger that is not exclusively controlled by the transfer agent" (91 Fed. Reg. at 56984). The first step is to say which record is the security. A registered money market fund's post-effective amendment to its registration statement, filed with the Commission in May 2026, shows why the rule must say it. The filing states that the blockchain records, "together with an off-chain register associating wallet addresses with shareholder personal identifying information, will constitute the official shareholder register of the Fund and, in the absence of a technical failure of either of those systems, conclusively govern the record ownership of the OnChain Shares," and warns separately that during a network delay "recording transactions in OnChain Shares on the blockchain will not be possible and as such may cause discrepancies between the blockchain record and the backup off-chain record maintained by the Transfer Agent." The disclosure makes the blockchain records and the off-chain identity register authoritative absent a technical failure, and these passages do not say which record governs when the blockchain record and the backup off-chain record disagree during a delay. That is the gap a designation requirement closes.

Tokenization Systems recommends that the final rule:

1. require the recordkeeping transfer agent, for each tokenized issue, to designate in writing whether the crypto network is the master securityholder file, a component of it, or a copy, and which record governs if they disagree, and to disclose that designation to holders;
2. add to rule 17ad-9(g) a record difference when the quantity of a tokenized issue outstanding on any crypto network differs from the quantity the master securityholder file records for that representation, and require reconciliation at least every business day, so that a difference left unresolved is reported as an aged record difference under rule 17ad-11;
3. count units outstanding on a crypto network in excess of the quantity the master securityholder file records in the overissuance test, and extend the duty in rule 17ad-10(g) to "devote diligent attention to resolving the overissuance" (91 Fed. Reg. at 57056) to such supply, whoever created it; and
4. decline the exemption floated in Question 105 for a file kept "exclusively on an immutable blockchain network" (91 Fed. Reg. at 56993). A public ledger's history persists only while the network and its archive nodes do. The proposed rule requires every electronic recordkeeping system to have controls that "provide means to recover altered, damaged, or lost records resulting from any cause" (91 Fed. Reg. at 57055),

and an agreement with a third party "shall not relieve a registered transfer agent from the responsibility to maintain, retain, or preserve records" (91 Fed. Reg. at 57055).

Recommendation 2 (Questions 82, 84, 99): Define exclusive control of a ledger component as sole authority to create, cancel, or freeze units or move them without the holder's authorization, held by the transfer agent or exercised only on its instruction, under joint authorization.

The master securityholder file must remain under the transfer agent's "exclusive control" (91 Fed. Reg. at 57056), which the release says ensures "that the transfer agent maintains exclusive control over, and responsibility for, such a crucial record" (91 Fed. Reg. at 56970), but the rule does not define the term, and the release reads the independent-access condition for third-party recordkeeping generously for ledgers: a transfer agent using a distributed ledger "would have independent access where it is able to view the records maintained on the blockchain or other distributed-ledger, and can through such access permit examination and promptly furnish copies" (91 Fed. Reg. at 56988). Anyone can view, and copy, a public ledger. What a transfer agent can control on a shared network is the authority to write to the token's records: to create, cancel, or freeze units, or to move them without the holder's authorization. Question 99 asks whether commenters agree, and Question 82 asks how transfer agents should maintain, access, and produce such records for examination.

Tokenization Systems recommends that the final rule define exclusive control, for any component of the master securityholder file kept on a crypto network, as sole authority to create, cancel, or freeze units of the issue on that network, or to transfer units without the holder's authorization, held by the transfer agent, or by a person acting only on its instruction under an agreement the transfer agent can terminate, and exercised under joint authorization of at least two persons the transfer agent designates. Holders would still transfer their own units; the definition reaches only the actions no holder authorizes. Its joint-authorization element follows what the Commission has proposed for investment advisers that hold client crypto assets themselves: joint authorization of transfers by two or more designated persons, at least one of them a management person (proposed rule 223-1(b)(7)(ii)(B), File No. S7-2026-35). It also parallels the control standard the Office of the Comptroller of the Currency adopted for the custody the GENIUS Act reaches: for a payment stablecoin, a reserve asset in tokenized form, or a private key used to issue a payment stablecoin, a covered custodian maintains control if it "can reasonably demonstrate, consistent with the standard of care established by applicable law, that no other party, including the covered customer, can transfer the payment stablecoin or tokenized asset without the consent of the custodian or sub-custodian, as applicable" (12 C.F.R. 15.21(b)(2)(ii), 91 Fed. Reg. at 67186). Viewing should satisfy the independent-access condition only where the transfer agent also holds that authority and keeps its own complete copy of the records.

A power above the token contract raises the same question. According to a party's filing in federal court, in April 2026 the Arbitrum Security Council "froze the 30,765.6675 ETH, valued at approximately $71 million," associated with an exploit, and "transferred those

digital assets to a designated address." On October 29, 2026, after a theft from the Binance exchange that the Federal Bureau of Investigation attributes to North Korea, Arbitrum announced that the Security Council had taken "emergency action to rescue the 74,559,805 ARB and 8,425 ETH being held in the address on Arbitrum One that is identified as connected to the Binance exploit," and that those assets "can only be moved by further action of the Security Council or a vote of Arbitrum DAO governance." Each was an emergency response, which Tokenization Systems does not question. But where a person other than the transfer agent can freeze or move units at the level of the network, without the transfer agent's instruction, the ledger is not under the transfer agent's exclusive control. The staff of the Division of Corporation Finance drew the same line in another context on November 2, 2026: for purposes of its discussion of digital commodities, a central party oversees participation in a crypto system "when it has the authority to control access to the crypto system at any level, whether at the protocol level, validator level, or user level," including unilateral authority to "Modify the crypto system's rules-based code, reverse transactions, or revoke access to the crypto system" (Question 1.5; staff views, not a Commission statement). The test proposed here is broader than "unilateral": a power exercised by a vote of a network's governance token holders is still not the transfer agent's. The final rule should say so: for each network carrying a representation of an issue, the transfer agent should identify and disclose to holders any such person, and such a network should carry a copy of the record, with the off-chain file governing, and not the file or a component of it.

Recommendation 3 (Questions 50, 84, 109, 140): Treat the privileged functions of a token as transfer agent functions.

Recommendation 2 defines control where the ledger is part of the official record. This recommendation reaches every tokenized issue, including a token that only mirrors the file. The release recognizes that "Transfer agents interacting with tokenized securities, distributed ledger technologies, and smart contracts must increasingly manage risks relating to blockchain data integrity, security of tokenized securities, and distributed ledger operational models" (91 Fed. Reg. at 56948). The rule text records the results of a token's privileged functions: the transfer journal records "all issuances, cancellations, transfers" (91 Fed. Reg. at 57056), and the recordkeeping rule covers "any other restriction on transfer" (91 Fed. Reg. at 57054). It does not name the functions themselves or say who holds them. The Commission's custody release describes these powers: "some smart contracts have designated addresses with administrative privileges to perform critical operations such as upgrading and modifying the contract's logic and parameters and to pause the contract's operations" (91 Fed. Reg. at 63924). A token contract's administrator can also typically create units, destroy them, freeze an address, or move units without the holder's signature, the privileged capabilities the program asked the Commission to inventory in its Regulation Crypto Assets comment. A registered fund's May 2026 registration statement describes them in operation: smart contracts "have been developed to support functions such as 'minting' (creating a new token balance) and 'burning' (removing a token balance from circulation), as well as transfer restrictions to prevent unauthorized transfers to unregistered wallets, i.e., non-whitelisted wallets, and ability to claw back Tokens under

certain circumstances. These smart contracts are designed, deployed, and maintained by the Transfer Agent." For an erroneous transfer, the transfer agent "generally would have the ability to burn the erroneously transferred OnChain Shares and issue new OnChain Shares to the correct wallet, as applicable." These are transfer agent functions in fact; the rule should make them transfer agent functions in law. The proposal does regulate who may instruct a transfer agent about restrictive legends: it must "Refrain from acting on instructions from any person not included on the list" of issuer employees authorized "regarding the placement and removal of restrictive legends" (91 Fed. Reg. at 57058), a rule the release says "would prevent a transfer agent from acting upon the instructions of an unauthorized person to issue stock" (91 Fed. Reg. at 57000). Nothing reaches a mint that a token contract's administrator executes without instructing the transfer agent. That is the situation Question 84 asks about: records on a ledger the transfer agent does not exclusively control.

Tokenization Systems recommends that the final rule:

1. require that each privileged function of a tokenized issue's own contract be held by the recordkeeping transfer agent or be exercisable only on its instruction, so that the duties below reach every exercise, whoever holds the key; a power that arises only at the level of the crypto network is addressed by Recommendation 2 and the last sentence of suggested rule 17ad-12(d), under which such a network may carry only a copy of the record;
2. require issuer authorization for every creation or cancellation of units of a tokenized issue, as rule 17ad-10(e) already requires for changes to the control book, which may not be made "except upon written authorization from a duly authorized agent of the issuer" (91 Fed. Reg. at 56970);
3. require joint authorization for every use of a privileged function, and a transfer journal entry for each use, including freezes, pauses, and changes to the contract's logic, recording any instruction or legal order the use rests on;
4. require the transfer agent to disclose to holders, for each tokenized issue, which persons hold which privileged functions;
5. confirm that a transfer restriction enforced in a token contract to implement a restriction on resale under the Securities Act is a restrictive legend for purposes of proposed rule 17ad-31, so that lifting it is a removal subject to the rule (the release itself recognizes transfer agents engaged in "wallet whitelisting," 91 Fed. Reg. at 56954); and
6. name these functions, and the persons who hold them, in any guidance on what makes a risk material under rule 17ad-12(a)(2) (Question 109).

Recommendation 4 (Questions 101, 104, 110): Hand over control with the records, and plan for a transfer agent's failure.

Proposed rule 17ad-7(i) requires a departing transfer agent, "Within fifteen (15) calendar days of ceasing to perform transfer agent functions for an issue," to deliver its records to the issuer or the issuer's designee (91 Fed. Reg. at 57055). The release adds the deadline because some terminated transfer agents "have delayed or have refused to hand over

securityholder records to successor transfer agents unless the issuer pays a termination fee" (91 Fed. Reg. at 56989). For a tokenized issue, records are not enough: a successor that receives the records but not the privileged roles of the token contract cannot correct, reissue, or move units, and a withheld key gives a departing transfer agent the same leverage a withheld file does. The release reports that of the 144 transfer agents that withdrew from registration between 2016 and 2025, "56 (39% of the total) indicated that they had a successor transfer agent for each issue," while an estimated 35 were firms that never performed transfer agent activities, had filed a duplicate registration, or planned to re-register with another regulator (91 Fed. Reg. at 57011). It also recognizes that "an operational disruption at a single transfer agent can have broader effects" (91 Fed. Reg. at 56995). In a concentrated market, one transfer agent's failure can reach many tokenized issues at once.

Tokenization Systems recommends that the final rule:

1. require the handover under rule 17ad-7(i) to include the transfer of every privileged role and key the transfer agent holds or controls for each tokenized issue, or their revocation and reissue to the successor;
2. require the business continuity plan under rule 17ad-12(c) to address ledger events: network halts and forks, contract exploits, bridge failures, and loss or compromise of keys (Question 110); and
3. keep the rule that "There can be only one recordkeeping transfer agent for a given issue of securities" (91 Fed. Reg. at 57056), and apply it across networks, so that one transfer agent is accountable for reconciling every representation of an issue (Question 104).

Recommendation 5 (Questions 108, 113): Keep payment stablecoins and tokenized deposits out of "funds" unless held under stated conditions.

Proposed rule 17ad-12(b) requires issuer, securityholder, and other third-party funds to be held in a bank account designated as a for-the-benefit-of account, separate from the transfer agent's other bank accounts (91 Fed. Reg. at 57057), and the release states that the rule "would not, however, require transfer agents to maintain segregation of third-party funds" client by client (91 Fed. Reg. at 56995). Question 113 asks whether "stablecoins and tokenized deposits can be funds" and whether the account could be a bank's custodial wallet (91 Fed. Reg. at 56996). A token held for securityholders carries risks a deposit account does not: loss of keys, an issuer's freeze or redemption halt, and network failure.

Tokenization Systems recommends that the final rule permit payment stablecoins and tokenized deposits to stand in for funds only if:

1. they are payment stablecoins issued by permitted payment stablecoin issuers under the GENIUS Act, or deposit liabilities of a depository institution recorded on a crypto network;
2. they are held by a bank or trust company in a for-the-benefit-of wallet, not by the transfer agent itself;

3. the transfer agent keeps per-client records and reconciles them to the wallet's balance on the network at least every business day; and
4. the business continuity plan addresses a freeze or redemption halt by the issuer.

Separately, tokens the transfer agent holds for securityholders, such as undelivered distributions, should be segregated from its own assets on the same terms the rule applies to funds.

Recommendation 6 (Questions 16, 19, 21, 23): Make tokenization visible on Form TA-2.

Proposed Question 4(e) of Form TA-2 asks for the number of issues for which the registrant "maintained the master securityholder file using distributed ledger technology, in whole or in part, during the reporting period" (91 Fed. Reg. at 57060). That count lumps a ledger that is the whole official record with one that is only a component of it, and misses a ledger that only copies it. Nor does it duplicate Question 5(b), which Question 19 asks about: Question 4(e) counts issues, Question 5(b) names providers, and neither links an issue to the network that carries its record. The three-way distinction is already standard in the market the form would survey. A November 2025 report of the Guardian Asset and Wealth Management Industry Group, to which the Monetary Authority of Singapore contributed, describes three archetypes of tokenised fund register, "Model 1: Mirror the authoritative fund shareholder register", "Model 2: Partial on-chain authoritative fund shareholder register", and "Model 3: Full on-chain authoritative fund shareholder register", and observes that "The choice of model has far-reaching implications for investor rights, regulatory compliance, and operational risk." The names of distributed ledger platforms and tokenization agents would be collected, but "this information would not be made publicly available on EDGAR" (91 Fed. Reg. at 56964). The tokenization models in Question 6(b) rest on a staff statement the release itself says has no legal force: "Staff statements have no legal force or effect" (91 Fed. Reg. at 56964 n.110). And the Commission considered, and set aside on cost, issue-level disclosure of whether each master securityholder file was "maintained using distributed ledger technology" and "the name(s) of any recordkeeping system or technology used" (91 Fed. Reg. at 57038).
Then-Commissioner Peirce asked whether disclosing service providers on Form TA-2 is appropriate "in light of the role played by transfer agents and what the Commission requires (or does not require) of other registrants." For a provider that carries the official record of ownership, it is, and the case for making it public is stronger than for any other service provider.

Tokenization Systems recommends that the final Form TA-2:

1. split Question 4(e) into issues for which the ledger is the master securityholder file, a component of it, or a synchronized copy;
2. require, by issue and publicly, the network and contract address of each tokenized issue, as entries on the list of issues serviced that amended Question 13 would already require, a list the release adds because "the Commission does not know which transfer agent services a particular security" (91 Fed. Reg. at 56965). This extends

the issue-level alternative the Commission considered and the alternative that would have required "the names of any blockchains used for maintaining master securityholder files during the reporting period" (91 Fed. Reg. at 57038);

3. define the issuer-sponsored and third-party-sponsored models in the form instructions, which leave them undefined; and
4. make the names of distributed ledger platforms and tokenization agents public. Naming the infrastructure that carries the official record of ownership discloses no key or account, and it lets issuers and holders see what the release wants the Commission to see: "how many transfer agents rely on that provider" (91 Fed. Reg. at 56964). The Commission rejected confidential reporting of the Form TA-1 organizational chart because it "would limit the ability of issuers and investors to identify conflicts of interest, assess governance and operational risks, and compare transfer agents on an informed basis" (91 Fed. Reg. at 57038). The same reasoning applies to the infrastructure that carries the official record.

Recommendation 7 (Questions 37, 41, 116): Make the wallet address part of position detail for tokenized positions, and address lost keys.

The release offers the wallet address only as an example: of identifying information, "a digital wallet address in the case of any tokenized security" (91 Fed. Reg. at 56968), and of contact information, "a blockchain wallet address" (91 Fed. Reg. at 56968). The rule text requires, for every holder, contact information "including at a minimum a physical mailing address" (91 Fed. Reg. at 57056). The Commission considered a principles-based alternative that could accommodate "pseudonymous wallet addresses as identifying information" and preferred a uniform minimum standard (91 Fed. Reg. at 57039). Tokenization Systems agrees that the holder's identity should remain the identifier of record. But for a tokenized position, the wallet address is what links the identity to the units on the network, and rule 17ad-17 depends on signals a wallet does not give: an electronic payment makes a holder an unresponsive payee only when it is "rejected and returned as undeliverable to the paying agent" (91 Fed. Reg. at 57058), and a payment to a wallet whose keys are lost is never returned.

Then-Commissioner Peirce asked whether transfer agents should "continue to be required to collect names and physical addresses of securityholders or should the rule allow other identifiers, such as email and digital wallet addresses, to be collected instead," and the Director of the Division of Trading and Markets highlighted that question on October 29, 2026. Tokenization Systems' answer is in addition, not instead, for the reason the release itself gives for the mailing-address minimum: it "may help recordkeeping transfer agents comply with Rule 17ad-17" (91 Fed. Reg. at 56969). A wallet address shows which key can move the units. It does not show who holds them, and it fails as a way to reach the holder at the moment that matters most, when the key is lost. The registered fund filing cited above operates on the same premise. It states that the registered owner of tokenized shares "will be the person whose identifying information, as recorded separately on the Fund's books and records maintained off chain, is associated with such shareholder wallet," that "Each investor is responsible for their own blockchain wallet," and that when a key is lost

the remedy begins with the holder contacting the fund so that the transfer agent can act, "which may include freezing the Tokens in the shareholder's wallet, verifying the shareholder's ownership of the Tokens." Both the identity and the recovery path run through the off-chain record, not the wallet. The mailing address also does work under state law that a wallet address cannot: the release describes two primary dormancy triggers under state escheatment laws, "the return as undeliverable of one or more items of U.S. mail sent to the owner of the securities" and the time since the last contact or activity the owner generated (91 Fed. Reg. at 56996). Without a mailing address the first trigger never operates, and the second runs with no way to reach the holder by mail. The rule has the same dependency: nothing sent to a wallet is ever "returned as undeliverable" (91 Fed. Reg. at 57057), so a holder known only by a wallet address could never become a lost securityholder under rule 17ad-17(b)(2)(i) and the search duty would never start, and the holder of a lost key can never answer a notice sent to the wallet. For the same reason, the final rule should make clear that a wallet address alone is not a method "reasonably expected to reach the inactive securityholder" (91 Fed. Reg. at 57057) for the notices rule 17ad-17(a)(3) requires. An email address is a useful further channel, but it can lapse too, and it does not show who holds the units.

She also asked whether the amendments to rule 17ad-17 are appropriate given "the recent adoption of inactivity standards in state escheatment laws," and the Director asked how to "best tailor transfer agent rules to address the growing challenge of inactivity standards in state escheatment laws." For most accounts the amendments are appropriate. For a tokenized position, one limb needs a clarification. The proposed rule counts as account activity by a securityholder "conducting a transaction in the account where the assets are held, including deposits or withdrawals of funds" (91 Fed. Reg. at 57057). That language was written for accounts kept by a transfer agent, broker, or dealer. On a network or token that permits unsolicited transfers, anyone can send a token to an address, and a distribution can arrive with no act by the holder. If a receipt alone counted, it could keep a lost holder's position looking active indefinitely. The state standard the release describes is owner-generated, and the proposed definition closes with "any other affirmative indication or action that reasonably demonstrates that the securityholder is reachable and engaged with its account" (91 Fed. Reg. at 57057). The final rule should clarify that, for a tokenized position, the transaction limb covers transactions initiated or directed by, and reasonably attributable to, the holder, including deposits and withdrawals, and that an unsolicited incoming transfer or automatic distribution does not count by itself. Logins, messages to the transfer agent, and replies to its notices should still count.

Tokenization Systems recommends that the final rule:

1. require the wallet address, and the network, as position detail for every tokenized position, in addition to, and not instead of, the holder's name and mailing address, with procedures for changes of address and for lost keys; and
2. define, for tokenized positions, the transaction limb of account activity under rule 17ad-17(b)(3) as transactions initiated or directed by, and reasonably attributable to, the holder, including deposits and withdrawals, and not an unsolicited incoming transfer or automatic distribution alone, and treat a holder as an unresponsive payee

when a payment is sent to a wallet for which there has been no such transaction for the inactivity period and the holder has shown no other account activity, with the written notification rule 17ad-17(c)(1) requires sent to the mailing address of record, so that the holder can be found before its property is lost (Question 116).

II. Suggested rule text

The following language is offered as a starting point for the three highest-priority recommendations. "Crypto network" is not a term of the transfer agent rules; the first provision adds it, using the definition the Commission proposed in File No. S7-2026-35.

Definition (new rule 17ad-9(p)):

> (p) Crypto network means a blockchain or similar distributed ledger technology network.

Recommendation 1, record difference (new rule 17ad-9(g)(4), moving "or" from paragraph (g)(2) to (g)(3)):

> (4) The quantity of a representation of an issue of securities outstanding on a crypto network differs from the quantity the master securityholder file records for that representation.

Recommendation 1, reconciliation (new rule 17ad-10(j)):

> (j) For each issue of securities a representation of which is recorded on a crypto network, every recordkeeping transfer agent shall, at least once each business day, reconcile the quantity of the representation outstanding on the crypto network to the quantity the master securityholder file records for it.

Recommendation 1, overissuance (rule 17ad-10(i)):

> (i) For purposes of this section, overissuance means an out-of-balance condition wherein the securities issued and outstanding, as reflected in the transfer agent's control book, together with any units of a representation outstanding on a crypto network in excess of the quantity the master securityholder file records for that representation, exceed the securities authorized and outstanding, as reflected in the control book. Units locked on one crypto network to back a representation of the same issue on another crypto network are not counted as outstanding on the first.

Recommendation 2, exclusive control (rule 17ad-9(b), added sentence):

> Where any component of the master securityholder file is maintained on a crypto network, exclusive control means that no person other than the transfer agent, or a person acting only on its instruction under an agreement the transfer agent can terminate, can create, cancel, or freeze units of the issue on that network or transfer units without the holder's authorization, and that each

such action requires the authorization of at least two persons designated by the transfer agent.

Recommendation 3, privileged functions (new rule 17ad-12(d)):

(d) No registered transfer agent shall act as recordkeeping transfer agent for an issue of securities a representation of which is recorded on a crypto network unless each person who can create, cancel, freeze, transfer without the holder's authorization, pause, or modify the representation is the transfer agent or acts only on its instruction. For each such issue, the recordkeeping transfer agent shall maintain a current list of those persons; shall permit each exercise of any such function only with the authorization of at least two persons designated by the transfer agent; shall create or cancel units only upon written authorization from a duly authorized agent of the issuer; shall record each exercise of any such function in the transfer journal, with any instruction or legal order on which it rests; and shall disclose the list to securityholders. The condition in the first sentence, and the requirement in the second sentence for authorization by two persons designated by the transfer agent, do not apply to a person whose power over the representation arises only at the level of the crypto network, and not from the representation's own contract; but where such a person can act without the transfer agent's instruction, the crypto network may carry only a synchronized copy of the master securityholder file, with the off-chain file governing, and not the file or a component of it, and the recordkeeping transfer agent shall identify any such person and disclose that person to securityholders.

III. Cross-agency alignment and divergence

The same control and reconciliation questions appear in the Commission's own custody proposal and in a Federal banking agency's final rule implementing the GENIUS Act, whose subpart C governs custody.

Issue	This proposal	Commission's custody proposal (File No. S7-2026-35)	OCC GENIUS Act final rule (12 C.F.R. part 15)	Recommended alignment
Reconciliation to the crypto network	None for the supply of a token that mirrors the official record	Required: the accountant must verify that self-custodied crypto assets are reconciled to the crypto network	Issuer publishes total outstanding payment stablecoins monthly against reserves, examined by an accounting firm (Sec. 15.11(e) and (f)); the preamble states that sound custodial practices would entail that a custodian "may not rely solely on a distributed ledger and must reconcile distributed ledger data, as applicable, with its internal records" (91 Fed. Reg. at 67100; not codified)	Business-day reconciliation of on-chain supply to the master securityholder file (Recommendation 1)
What control means on a ledger	"Exclusive control" undefined; viewing a ledger, plus the ability to furnish copies, counts as independent access	Possession of key materials; joint authorization of transfers required for adviser self-custody	For payment stablecoins, tokenized reserves, and issuance keys in its custody: control if the custodian can reasonably demonstrate that no other party can transfer the asset without its consent	Sole authority to create, cancel, freeze, or move units without the holder, held by the transfer agent or exercised on its instruction, under joint authorization (Recommendation 2)

Issue	This proposal	Commission's custody proposal (File No. S7-2026-35)	OCC GENIUS Act final rule (12 C.F.R. part 15)	Recommended alignment
Privileged functions held by others	Rule text records results only	Described in the release; no rule text	Rule text silent; the Act requires issuers able to comply with lawful orders to "seize, freeze, burn, or prevent the transfer" (GENIUS Act Secs. 2(16), 4(a)(6)(B))	Issuer authorization, joint authorization, journal entries, and disclosure (Recommendation 3)
Payment stablecoins as funds	Open question (Question 113)	Stated view that payment stablecoins of permitted and registered foreign issuers, and tokenized deposits, are digital representations of funds under the custody rule	Customer property and segregation duties for the custody the Act reaches	Conditions in Recommendation 5

IV. Anticipated objections

Objection: reconciliation every business day is burdensome for a transfer agent using a public ledger. A token's supply is a single public number on the network, read in seconds. The burden is comparing it with the file the transfer agent already keeps, which is the overissuance monitoring the statute already assigns. The proposal already requires posting to the master securityholder file within the shorter of one business day or the settlement cycle (rule 17ad-10(a)(2)(i), 91 Fed. Reg. at 57056), so a business-day reconciliation runs on the same clock.

Objection: defining exclusive control prescribes a technology. The recommended definition names a result (no one but the transfer agent, or a person acting only on its instruction, can create, cancel, or freeze units or move them without the holder, and only with two authorizations), not a mechanism. Multisignature contracts, threshold signing, and administrator roles can each meet it, and holders' own transfers are untouched.

Objection: excluding a network with a security council takes away a useful protection. It takes away neither the network nor the council. Such a network can carry a

synchronized copy of the record, with the off-chain file governing, and the council can still act in an emergency. What it cannot be is the official record of ownership, because someone other than the transfer agent can change it.

Objection: issuers keep compliance controls on their tokens. They can keep them, exercised on the transfer agent's instruction under an agreement the transfer agent can terminate. What the rule should not permit is a party other than the transfer agent changing the official record of ownership on its own authority, which is what exclusive control over the master securityholder file already rules out.

Objection: publishing networks and contract addresses creates security risks. A tokenized issue's contract address is already public on the network; the form would only connect it to the transfer agent of record. Recommendation 6 asks for no key, wallet, or holder information.

Objection: payment stablecoins are the banking agencies' responsibility. Recommendation 5 does not regulate stablecoins. It conditions a transfer agent's use of them for securityholder funds, which is squarely within rule 17ad-12, and it defers to the GENIUS Act for which stablecoins qualify.

V. Conclusion

The proposal makes the master securityholder file the authoritative record of ownership and lets that record live on a crypto network. Tokenization Systems' recommendations ask that the rule finish the thought: say which record governs, reconcile the token to it, define control as the power to change the ledger, bring the token's privileged functions inside the transfer agent's duties, hand them over with the records, and let the Commission and the public see which networks carry the official record.

Tokenization Systems appreciates the care evident in the proposal and would welcome the opportunity to discuss these recommendations with the Commission's staff.

Respectfully submitted,

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